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Via Email: [redacted]

Mr. Faisal D'Souza
Networking and Information Technology Research and Development (NITRD)
National Coordination Office (NCO), National Science Foundation
2415 Eisenhower Avenue
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Re: Request for Information on the Development of an Artificial Intelligence (AI) Action Plan

These comments are submitted on behalf of **Wired Real Estate Group Inc.**, a developer of AI data centers in the U.S.A.

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A primary objective of an AI Action Plan should be the adoption of tax incentives to encourage investment in the development and construction of AI data centers over other capital projects.

There is an insatiable demand for AI data centers and the associated compute power and energy capacity. *Google CEO: We're working on 1GW data centers, seeing money going into SMRs*, The Critical Power Channel, Sept. 23, 2024 (https://www.datacenterdynamics.com/en/news/google-ceo-were-working-on-1gw-data-centers-seeing-money-going-into-smrs/). *Google expects 2025 capex to surge to $75bn on AI data center buildout*, The Investment & Markets Channel, Feb. 5, 2025 (https://www.datacenterdynamics.com/en/news/google-expects-2025-capex-to-surge-to-75bn-on-ai-data-center-buildout/).

Bringing AI data centers online is a multiphase capital intensive process that involves sourcing suitable raw land, securing energy capacity from electrical grid operators and/or other sources (creating powered land), constructing electrical, network, telecom, wireless, satellite and other infrastructure, constructing the data center building, and finishing out the data center with required computing infrastructure and facilities.

In an effort to ensure that the use of resources dedicated to AI data center development are prioritized and that participants have an incentive to dedicate these resources to AI data center development over any other use, a federal tax exemption should be adopted that provides tax incentives to all the participants and constituent parts needed to develop an AI data center and bring it online.

Any investor (either cash, debt, or contributions in kind) in an AI data center development project should receive an immediate 100% tax credit equal to the amount of the investment (or then current appraised value of contributions in kind) in the project that can be applied to any income tax owed by the investor, with any excess credits being carried forward to subsequent tax years until the tax credit has been fully applied to future income. Contributions in kind could be anything used in data center development, including but not limited to raw land, powered land, infrastructure, electrical generation equipment, other equipment, facilities, improvements, costs of construction, and engineering or other professional services. This approach would give a tax based incentive for any contributor in kind to give preference to dedicating these resources to AI data center development purposes rather than for any other project or purpose.

Because AI data center demand is accelerating the power capacity needs to support their operation, developers, owners and operators of AI data centers are looking for any energy sources that can meet the demand. An AI Action Plan should consider tax credits and incentives for any projects incorporating on-site power generation, including small modular reactors (SMRs), natural gas, and hybrid renewable systems. In addition, federal loan guarantees for AI data centers and/or private power projects co-located with AI data centers would further ensure that these projects have access to capital required to fund their development.

The sale of raw land, powered land, data center projects, data center buildings, and associated data center infrastructure should be exempt from capital gains or any income tax. Further, additional tax incentives or credits should be adopted to the extent these AI data center projects incorporate on-site and private power generation.

Conclusion

Wired Real Estate Group Inc. hopes that these comments will be useful for stimulating discussion and ideas for developing specific policies and actions that will further the goal of fostering a climate where AI innovation and adoption is allowed to flourish and position the U.S.A. as the dominant global player in AI. We would welcome the opportunity to be involved in further discussions with the Trump Administration on the ideas outlined in these comments.

Very truly yours,

Robert W. Taylor
Counsel for Wired Real Estate Group Inc.